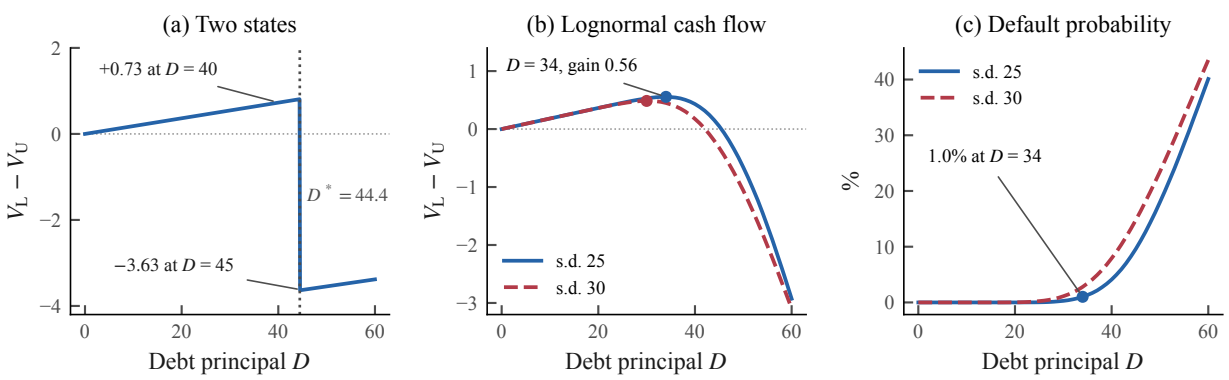
(a) Two states
+0.73 at D = 40
D* = 44.4
−3.63 at D = 45
V_L − V_U
Debt principal D
(b) Lognormal cash flow
D = 34, gain 0.56
s.d. 25
s.d. 30
V_L − V_U
Debt principal D
(c) Default probability
s.d. 25
s.d. 30
1.0% at D = 34
%
Debt principal D